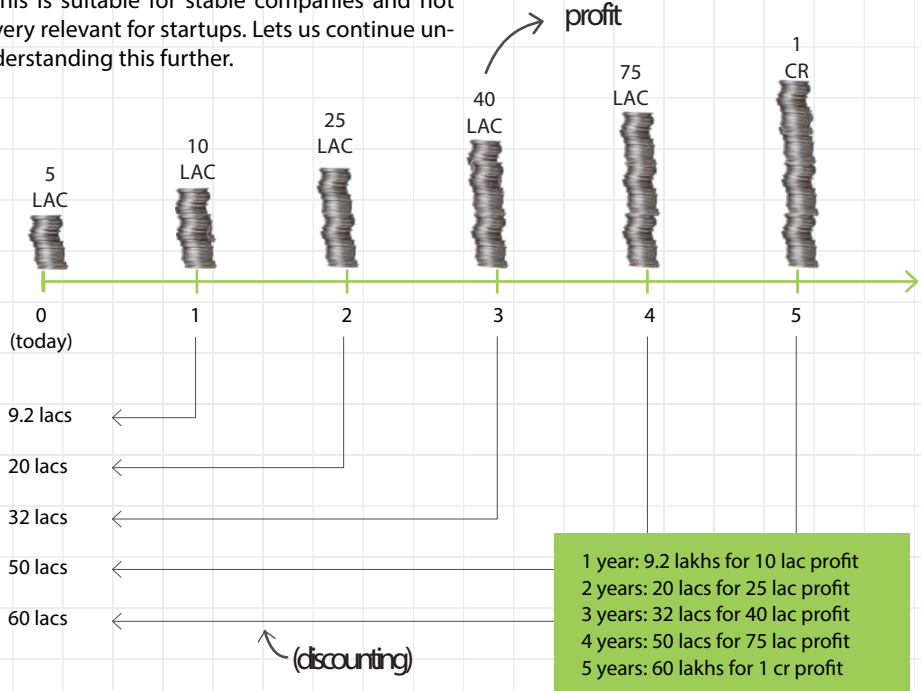


Next, you need to 'discount' all cash flows to calculate present value of profits. This is relatively complicated math and beyond scope for new finance entrepreneurs. The logic is that Rs.10 lacs 1 year from now is only worth 9.2 lacs today as 9.2 lacs will earn 9% interest on it in 1 year as well. You can seek professional help to value your company on this. However, this is suitable for stable companies and not very relevant for startups. Lets us continue understanding this further.



You need to add all of these to calculate a value. You also have to value the company beyond the 5 year period. The formula to calculate the value is:

$$= \frac{\text{LAST YEAR PROFIT (1 + LONG TERM GROWTH)}}{\text{RETURN (R) - GROWTH (G)}}$$

Considering 15% long-term growth and 25% required return for startups, this becomes:

F

$$= \frac{1 \text{ CR (1 + 15\%)}}{25\% - 15\%}$$

ks